Tax reform ‘crucial’ to budget sustainability: Chalmers



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Treasurer Jim Chalmers says an overhaul of the tax system is necessary to reduce the growing reliance on income tax while ensuring the government can raise enough money to put the budget on a sustainable path.

In a speech delivered to the National Press Club in Canberra on Wednesday, Chalmers gave the strongest indication to date that the Albanese government intends to use its commanding parliamentary majority to enact tax changes that were not taken to the

election.



Australian Treasurer Jim Chalmers during his address at the National Press Club in Canberra. **Rohan Thomson**

Economists have urged successive federal governments to overhaul the nation's tax system, which has become increasingly reliant on income tax as other sources of revenue such as the tobacco excise and the GST have waned.

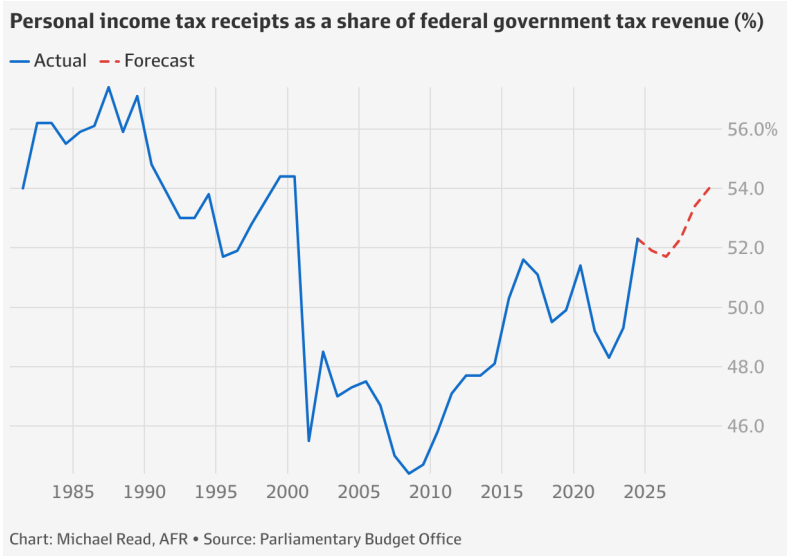
Chalmers said any tax reform would focus on lifting productivity and investment by lowering the income tax burden, which is

projected to hit its highest level since the introduction of the GST by 2029.

With Treasury forecasting the budget to be mired in deficit for the next decade, Chalmers admitted the budget position was unsustainable and said there would be a productivity dividend from plugging the persistent gap between spending and revenue.

“Fiscal stability and regulatory certainty give businesses the confidence and clarity they need to invest,” Chalmers said.

“This relies on sustainable revenue to fund our priorities and pressures, at the same time as our revenue base is evolving.”



Chalmers said the ageing population meant there would be proportionately fewer working age Australians in future, while the global transition to net zero would reshape the revenue collected from resources.

“This evolution in our revenue base is one of the reasons tax reform is so crucial to budget sustainability – on top of restraining spending, finding savings and working on longer-term spending pressures,” he said.

The speech suggests the Albanese

government is willing to fundamentally alter the tax system beyond its controversial proposal to raise the earnings levy paid by superannuation accounts worth more than $3 million and tax their unrealised capital gains.

The head of the last major tax review in 2009, former Treasury boss Ken Henry, last week called on federal Labor to stop "fiddling" [https://www.afr.com/politics/federal/henry-tells-chalmers-to-stop-fiddling-and-launch-into-tax-reform-20250612-p5m6uh] and buy in wholesale on taxation reform, suggesting a broader package of imposts on fossil fuel exports and increasing the GST to pay for company and income tax cuts.

Both the treasurer and Prime Minister Anthony Albanese have faced repeated questioning since Labor's thumping election win on May 3 about whether the scale of

their victory had emboldened them to consider ambitious economic reforms to raise productivity.

Labour productivity has barely grown since 2016, according to the Australian Bureau of Statistics. This stagnation threatens living standards, since productivity gains have been responsible for about 80 per cent of national income growth over the past three decades, according to the Productivity Commission.

Albanese announced last week that the government will use a productivity roundtable [https://www.afr.com/politics/federal/pm-sets-the-scene-for-new-policy-agenda-20250610-p5m64x] from August 19 to 21 to create consensus around a new economic agenda that could include tax reform and streamlined major project approvals. But Labor has ruled out entertaining any changes to its industrial

relations laws.

Chalmers said delivering Labor's election commitments was not the limit of the government's ambitions.

"They're a foundation, not a destination," he said.

Chalmers said that the roundtable of up to 25 leaders from business, unions and civic groups will test the appetite for economic reforms and try to build consensus between the disparate groups.

Three preconditions

The treasurer outlined three preconditions for any reform proposals arising through the roundtable process.

Any policies would need to be in the national

interest rather than a sectoral or state interest, and they also needed to be specific and practical rather than abstract and unrealistic. Finally, policies would need to either be budget-neutral or budget-positive so they do not worsen the deficit.

He urged the media not to play the "rule-in-rule-out game" on potential policies

"Of course there are things no sensible government will contemplate, but limiting ourselves to ruling things in or out forever has a cancerous effect on policy debates," Chalmers said.

"It can rob an informed and modern country like ours the flexibility and maturity to respond to big challenges."

Having ruled out changes to industrial relations at the roundtable, Chalmers said the solution to productivity was not to "torch

workers' rights and benefits".

"Lifting productivity is about empowering workers and making the most of our human capital. Teaching and training them to adapt and adopt technology," Chalmers said.

While there was a role for government in getting the settings right, Chalmers said businesses needed to step up too and invest in new technologies.

Chalmers has tasked the Productivity Commission to deliver five interim reports before the roundtable in August.

The five major areas of focus for the commission will be creating a more dynamic and resilient economy, building a skilled and adaptable workforce, harnessing data and digital technology, delivering quality care more efficiently and investing in cheaper, cleaner energy and the net zero

transformation.

Productivity Commission boss Danielle Wood said she would be reviewing the corporate tax system as part of the project, and would consider tax incentives for new capital expenditure that could revive investment without blowing a hole in the federal budget.

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